

THE ECONOMIC CONSEQUENCES OF CRIME AND IMPUNITY

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Crime is an economically relevant activity. After the seminal paper of G. Becker[1] the decision of committing a felony depends of a utility analysis where the gain, or booty, is compared with the risk (probability of being apprehended) and burden (fines and prison) of the punishment. From the point of view of the society, it seems that some level of crime should be tolerated as the economic charge of the repression of small crimes may be higher than the losses due to this criminal activity. But being tolerant with small crimes can be a stimulus for heavier criminality and the cost of repression would highly increase after a period of leniency[2]. Here we present simulations based on the model of Becker, considering different hypothesis, the original one that assumes that the probability of punishment is a constant, and a more realistic situation where this probability is a function of the importance of the loot but also of the financial power of the offender. Another important factor is the moral impediment, or honesty, of the economic agents. This can be also be simulated as an economic barrier that increases the “cost” of committing a felony. This barrier is a characteristic of the individual, due to educational, psychological or religious reasons, but it also depends on the perception the individual has of the probability of being punished if he perpetrates a criminal act. Then, this perception will change as a function of the ratio between punished and committed crimes. To avoid this feeling of impunity that can increase the criminal activity, we investigate the minimum level of law enforcement required to keep crime within acceptable limits. A sharp phase transition from high to very low criminality is observed as a function of the probability of punishment. We also analyze other economic consequences of criminality, as the effects on economic growth, and also changes of the Gini coefficient (inequality in the wealth distribution) as a result of criminal activity.

Keywords

Economic analysis of criminality, crime and punishment, crime and economic growth, crime and inequality,

References

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